

FRVO

FRVO N/A

Buy \$27.22 ▲ 0.33% 12M Price Target \$42.00 52-Week Range \$23.10 – \$42.65

Market Cap \$8.02B

FRVO: Geothermal + AI Power Story Finding Its Footing

WHAT HAPPENED

- Stock jumped from \$23.57 to \$27.35 between July 8-9 (a ~16% pop in one day) and has held that gain — that's the market digesting the NVIDIA + PNNL "EGS-Twin" geothermal partnership. In plain English: NVIDIA is helping Fervo build a digital simulation of their geothermal wells (a "digital twin" = software model of a real physical system). It matters because it validates Fervo as an NVIDIA-blessed energy supplier for AI data centers — the exact customer everyone wants right now.
- RBC reiterated that Fervo's Cape Station project in Utah is on track for the initial 33 MW coming online — no slippage. Boring but bullish; execution risk is the #1 thing that kills these stories.

WHY IT MATTERS

The NVIDIA tie-up is bigger than the price move suggests — this isn't a customer deal yet, but it's the on-ramp to one. AI data centers need 24/7 firm power (solar and wind can't do that alone), and geothermal is the only clean source that runs like a nuclear plant without the 10-year permitting nightmare. If even one hyperscaler (Microsoft, Google, Meta) signs a Fervo PPA — power purchase agreement, basically a long-term contract to buy electricity — this stock re-rates violently higher. The bearish options flow (put/call at 1.59) tells me institutions are hedging the recent pop, not betting against the story — that's actually healthy, it means the run wasn't crowded speculation.

POLICY & POLITICAL WATCH

The critical thing to watch: the reconciliation bill working through Congress this summer is deciding the fate of the IRA (Inflation Reduction Act) clean energy tax credits. Geothermal has rare bipartisan support — Republican senators from Nevada, Utah, and Idaho want these credits preserved because the projects are in their states — but the 45Y and 48E credits for "clean firm power" could still get trimmed. If geothermal credits survive (my base case), Fervo's project economics stay intact; if they get cut, Cape Station's IRR drops and the stock gets hit. Also watch the FERC transmission reforms — faster interconnection queues directly benefit Fervo's Nevada and Utah pipeline.

IS IT EXPENSIVE?

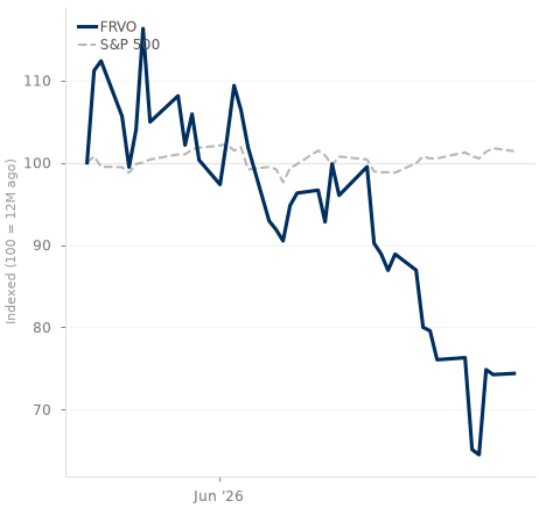
Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$27.22  |
| 12M Price Target    | \$42.00  |
| Upside / (Downside) | +54.3%   |
| Market Cap          | \$8.02B  |
| FY2026E Revenue     | \$285M   |
| FY2027E Revenue     | \$520M   |
| FY2026E EPS         | (\$1.85) |
| FY2027E EPS         | (\$1.20) |
| Fwd P/E             | N/M      |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$32.00   | \$28.00   | \$24.00   |
| 6 Months  | \$40.00   | \$32.00   | \$22.00   |
| 1 Year    | \$55.00   | \$42.00   | \$20.00   |
| 2 Years   | \$75.00   | \$55.00   | \$18.00   |
| 5 Years   | \$140.00  | \$85.00   | \$15.00   |
| 10 Years  | \$250.00  | \$140.00  | \$10.00   |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Energy is up 6% in five days — money is flowing into anything that can power AI data centers. Uranium/nuclear names, natural gas, and now geothermal are all catching bids because grid demand forecasts keep getting revised higher.

**COOLING OFF:** Megacap tech and software wobbled last month — investors are questioning whether AI capex is being spent efficiently, which paradoxically HELPS the power suppliers because it confirms the spend is real.

**ROTATION WATCH:** Money is rotating from "AI application" stocks (software) into "AI picks and shovels" — the physical infrastructure like power, cooling, and grid equipment. Fervo sits squarely in that trade.

**RELATED PLAY:** If you like the AI-power thesis, look at Vistra (VST), Constellation Energy (CEG), and Talen (TLN) — the incumbent power producers signing hyperscaler deals right now. GE Vernova (GEV) is the picks-and-shovels play on the equipment side.

WHO'S WINNING IN THIS SPACE?

- CEG (Constellation Energy): Nuclear operator locking in premium-priced PPAs with Microsoft and others — the template Fervo wants to replicate with geothermal.
- VST (Vistra): Riding the same AI-power wave with a mix of nuclear and gas — up hard on data center demand signals.

**FRVO CONTEXT:** FRVO is lagging the mega-cap power names because it's earlier stage and hasn't landed the marquee hyperscaler PPA yet. That's the setup — if the contract announcement comes, FRVO catches up violently. Being at only 21% of its 52-week range while peers rip suggests the market is waiting for proof, not paying up for hope.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

**Position Size:** 2-3% of portfolio

**Entry Points:** \$24-25 on pullbacks; add on breakout above \$28

**Time Horizon:** 18-36 months

**Thesis Invalidation:** Cape Station project delays >6 months, or IRA geothermal credits gutted in reconciliation

**Hedging:** Pair with a short in a pure-play solar name or utility ETF (XLU) to isolate the geothermal alpha